2013, bringing them under the purview of the RTI Act.

The next year, the two national parties—the BJP and the Congress—showed unprecedented camaraderie on another contentious issue—the flow of foreign funds into domestic politics. The Delhi High Court had found both parties guilty of accepting donations from a foreign company, in breach of the Foreign Contribution Regulation Act (FCRA), 2010, the newer version of the now-repealed FCRA, 1976. In response, the BJP government, via a 2016 Finance Bill, passed an amendment with retrospective effect to validate any foreign funds received by any political party since 1976. The amendment now allows foreign companies that have a majority share in Indian companies to donate to political parties. "This provision is dangerous, because it opens our democracy to external influence," says Rawat. "It could be a foreign country, or even a terrorist like Dawood Ibrahim, who can seriously jeopardise our national interests by exploiting this loophole."

Flow of foreign funds in elections has been a controversial issue across the world. Former French president Nicolas Sarkozy is being investigated over allegations that Libyan dictator Muammar Gaddafi funded his 2007 campaign. Foreign influence in elections were in focus again when Russian interference was alleged in the 2016 US presidential election. According to the International Institute for Democracy and Electoral Assistance (International IDEA), a Stockholm-based intergovernmental organisation, 125 countries have imposed restrictions (full or partial) on foreign contributions.

ONE SIGNIFICANT WAY TO CLEAN ELECTION FUNDING IS BY PUTTING A CAP ON THE EXPENDITURE THAT A POLITICAL PARTY OR A CANDIDATE OR BOTH CAN MAKE

THE PUBLIC FUNDING OPTION

One option often offered to eliminate corporate influence in elections is to abolish private funding altogether and introduce public funding instead for political parties. Most exponents say that public finance can help protect the political process from direct, quid pro quo kickbacks or corruption and create a level playing field for parties, candidates with less resources and new entrants. Direct funding of political parties is practised in 86 per cent of the countries in Europe, 71 per cent in Africa, 63 per cent in the Americas and 58 per cent in Asia.

There are different models of public funding. In some countries, only parties get the fund, not the candidates. In others, it's the reverse. In India, four reports have looked into the viability of state funding of elections—the Indrajit Gupta Committee Report of 1998, the Law Commission of India Report of 1999, the National Commission to review the working of the Constitution Report of 2001 and the Report of the Second Administrative Reforms Commission in 2008. Three of them have recommended some form of state funding of elections, but only after some prerequisites, such as internal democracy in political parties and complete transparency in their financial affairs, are met.

According to E. Sridharan, academic director of the University of Pennsylvania Institute for the Advanced Study of India, state funding based on a transparent formula might encourage a shift towards broad-based, small-sum, grassroots financing of parties. Public funding should be introduced in parties in proportion to the amounts they raise openly from identified small-sum private donors. In the US, for instance, presidential candidates receive from the government an amount equal to the funds they raise on their own, subject to certain conditions.

Quraishi advocates the setting up of a National Election Fund to provide a fixed sum to a party for every vote secured. "Let's fix Rs 100 for each vote. If a political party gets 10 million votes, it is entitled to state funding of Rs 100 crore," he says. A study by International IDEA of 180 countries, including Germany, Belgium, Greece, Finland and Sweden, found that 71 countries followed the practice of giving state funds based on votes obtained. In Germany, for instance, a fixed sum is distributed every year to eligible parties—ones that have polled more than 0.5 per cent of the vote in a nationwide election or 1.0 per cent of the total valid votes for one of the 16 state legislatures during the current election cycle. There are two criteria for distribution: for each vote polled in the most recent state, federal and European election, the party is allocated 70 cents; each euro raised in small amounts during the previous year is matched by 38 cents of public money. In Japan, parties get 250 Yen for each vote polled. In Israel, parties that receive less than 1 per cent of the votes get no funding.

NO GUARANTEES

Some countries also have provisions for indirect public funding. According to International IDEA, more than 68 per cent of the countries offer some form of indirect subsidies to political parties or candidates. Even in India, parties have since 1996 been able to access free time on state-owned electronic media—Doordarshan and All India Radio. The other in-kind subsidies the Indian government provides parties are in the form of free supply of copies of electoral rolls and identity slips of electors to candidates.